

SAP MM - Materials Management

Comprehensive Interview Preparation Guide

5+ Years Experience | ECC & S/4HANA

## For Experienced Professionals (5+ Years)	ECC & S/4HANA
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1. ORGANIZATIONAL STRUCTURE

Client

The highest organizational unit. All company codes, plants, and settings reside under a client. Master data and configuration are client-dependent.

Company Code

Represents an independent legal entity with its own balance sheet and P&L. Assigned to a controlling area. Key for FI integration.

Plant

A place where value-added activities occur - production, storage, or both. Assigned to a company code. Each plant has its own:

- * Storage locations
- * MRP area (optional)
- * Purchasing organization assignment

Storage Location

Differentiates stock within a plant. Stock is managed at storage location level. Not relevant for valuation (valuation is at plant level unless split valuation is active).

Purchasing Organization

Responsible for negotiating purchase terms. Types:

- * Cross-company: Serves multiple company codes
- * Company-specific: Serves one company code
- * Plant-specific: Serves one plant

Purchasing Group

A buyer or group of buyers responsible for procurement activities. Used in reporting and workflows.

MRP Area

Allows separate MRP planning within a plant. Can be defined for storage locations or subcontractors.

Key Interview Question

Q: What is the difference between a Purchasing Organization and a Purchasing Group?

A: Purchasing Organization is an organizational unit legally responsible for procurement and negotiates prices/terms. Purchasing Group is a key that represents a buyer or buyer group - it is not an organizational unit but a master data field used for responsibility assignment and reporting.

2. MATERIAL MASTER

Views and Relevant Organizational Levels

View	Org Level
Basic Data 1 & 2	Client
Classification	Client
Purchasing	Client / Plant
MRP 1-4	Plant
Accounting 1 & 2	Plant (Valuation Area)
Costing 1 & 2	Plant
Storage	Plant / Storage Location
Warehouse Management	Warehouse / Storage Type
Quality Management	Plant
Plant Data / Storage	Plant

Material Types (Key)

Type	Description
ROH	Raw Material
HALB	Semi-finished
FERT	Finished Product
HAWA	Trading Goods
DIEN	Services
NLAG	Non-stock material
VERP	Packaging material
LEIH	Returnable Transport Packaging

Material Type Controls

- * Which views are available
- * Account category reference (for automatic account determination)
- * Quantity/value update in stock management
- * Whether price control is V (MAP) or S (Standard)

Key Interview Questions

Q: What is the difference between Material Type and Material Group?

A: Material Type (e.g., ROH, FERT) is a system classification that controls account determination, views, and price control. Material Group is a user-defined classification for grouping materials for reporting and output - it does not drive system behavior the way Material Type does.

Q: Can you change a material's Material Type after creation?

A: Yes, using transaction MMAM (Material Type Change), but with restrictions - the new type must use the same account category reference, and no open documents must exist.

Q: What is the significance of the Valuation Class in the material master?

A: The Valuation Class links the material to G/L accounts via the account category reference. It determines which G/L accounts are posted to during goods movements (via OBYC configuration).

3. VENDOR MASTER (SUPPLIER MASTER IN S/4HANA)

Structure

- 1. General Data (Client level) - Name, address, language, tax info
- 2. Company Code Data - Payment terms, reconciliation account, payment methods, tolerance group
- 3. Purchasing Organization Data - Order currency, Incoterms, minimum order value, GR-based IV indicator

Account Groups

Control:

- * Number range (internal or external)
- * Screen layout (mandatory/optional/suppressed fields)
- * One-time vendor capability
- * Partner functions allowed

Key Partner Functions in Purchasing

Function	Description
LF	Vendor (Ordering Address)
RE	Invoice Presented By
RS	Invoicing Party (Different Payee)
WL	Goods Supplier
LS	Forwarding Agent

Key Interview Questions

Q: What is the difference between Ordering Address and Invoicing Party partner functions?

A: Ordering Address (LF) is where the PO is sent. Invoicing Party (RS) is who submits the invoice - relevant when a parent company invoices on behalf of a subsidiary.

Q: What is a one-time vendor and when is it used?

A: A one-time vendor (CPD account group) uses a single master record for multiple vendors. Address details are captured at document entry. Used for infrequent vendors where maintaining separate masters is not cost-effective.

Q: In S/4HANA, how does the vendor master change?

A: In S/4HANA, vendors and customers are replaced by the Business Partner (BP) concept using transaction BP. The vendor-specific data is maintained under BP role "FI Vendor" (FLVN01) and purchasing data under "Vendor" (FLVN00). The old XK01/MK01 transactions still work via compatibility mode.

4. PURCHASING INFO RECORDS (PIR)

Purpose

Stores purchasing conditions (price, discounts, delivery time) for a material-vendor combination.

Types

Type	Description
Standard	Normal stock materials
Consignment	Vendor-owned stock in your premises
Subcontracting	Vendor performs work on your components
Pipeline	Continuous supply (utilities)

Key Fields

- * Last Purchase Order (reference)
- * Planned Delivery Time
- * Purchasing Organization
- * Plant (optional - plant-level PIR is more specific)
- * Valid from/to dates
- * Conditions (Pb00 for gross price)

Transaction Codes

- * ME11 - Create PIR
- * ME12 - Change PIR
- * ME13 - Display PIR
- * ME1M - PIR per Material
- * ME1L - PIR per Vendor

Key Interview Questions

Q: How does SAP determine which PIR to use when creating a PO?

A: SAP uses the most specific PIR: Plant-level PIR overrides Purchasing-Org-level PIR. Within same level, the one with the latest valid-from date is used. PIR conditions are copied to PO conditions.

5. SOURCE LISTS

Purpose

Defines allowed (or preferred) vendors for a material at plant level. Controls from which vendor and for which period procurement is allowed.

Key Fields

- * Validity period
- * Vendor + Purchasing Organization
- * Fixed source indicator (blocks other vendors)
- * MRP relevance (1 = MRP will create PO/Schedule Agreement, 2 = blocked for MRP)

Transaction Codes: ME01 (Create), ME03 (Display), ME04 (Changes)

Key Interview Questions

Q: What is the Source List Check in the PO and how do you activate it?

A: In Purchasing Organization settings or Plant parameters, you can activate "Source List Required" - then a PO can only be created for vendors listed in the source list for that material/plant. Activated via SPRO > MM > Purchasing > Source List.

6. PROCUREMENT CYCLE - END TO END

Step 1: Purchase Requisition (PR)

- * Transactions: ME51N (Create), ME52N (Change), ME53N (Display)
- * Can be created manually or automatically by MRP
- * Item categories: Standard (blank), Subcontracting (L), Consignment (K), Stock Transfer (U), Third-party (S)
- * Assigned to cost center, WBS element, asset, or order

Step 2: Request for Quotation (RFQ) - Optional

- * ME41 (Create), ME42 (Change), ME43 (Display)
- * ME47 (Maintain Quotation - vendor prices entered)
- * ME48 (Display Quotation)
- * ME49 (Price Comparison - finds best vendor)

Step 3: Purchase Order (PO)

- * ME21N (Create), ME22N (Change), ME23N (Display)
- * Document types: NB (Standard), FO (Framework Order/Blanket), UB (Stock Transfer)
- * Can reference PR, RFQ, or contract
- * Key fields: Delivery date, quantity, price, plant, storage location, account assignment

Step 4: Goods Receipt (GR)

- * MIGO (transaction for all MM movements) or MB01 (classic)
- * Movement Type 101 - GR against PO (stock material)
- * Stock updated, G/L accounts posted (GR/IR clearing account debited, inventory account credited)
- * 3-way match begins: PO ? GR ? Invoice

Step 5: Invoice Verification (LIV - Logistics Invoice Verification)

- * MIRO (Enter Incoming Invoice)
- * MIR4 (Display Invoice Document)
- * MIR6 (Invoice Overview)
- * MIR7 (Park Invoice)
- * System checks: quantity, price, and delivery cost tolerances
- * Posts debit to GR/IR and credit to vendor account

Key Interview Questions

Q: Explain the 3-way match in SAP MM.

A: The 3-way match compares the Purchase Order (committed price & quantity), Goods Receipt (actual quantity received), and Vendor Invoice (billed amount). MIRO uses this to verify the invoice against both PO and GR. Variances within tolerance are accepted; outside tolerance block the invoice for payment.

Q: What happens to the GR/IR account?

A: At GR posting (MT 101): Debit Inventory Account, Credit GR/IR Clearing. At Invoice posting (MIRO): Debit GR/IR Clearing, Credit Vendor. The GR/IR account acts as a bridge. If goods are received but no invoice, GR/IR has a credit balance. MR11 (GR/IR Maintenance) is used to clear this account at period end.

Q: What is Evaluated Receipt Settlement (ERS)?

A: ERS is an automatic invoicing process where SAP creates an invoice automatically based on GR quantities and PO prices - no vendor invoice needed. Must be enabled in vendor master (ERS flag) and PIR. Runs via MRRL transaction.

7. OUTLINE AGREEMENTS

Scheduling Agreement

- * Long-term agreement with delivery schedule lines
- * Document type LP (standard) or LPA (with release documentation)
- * Transaction: ME31L (Create), ME32L (Change)
- * Delivery schedule created in ME38
- * GR references the scheduling agreement

Contract (Value/Quantity)

- * Value Contract (WK): Total value not to exceed agreed amount
- * Quantity Contract (MK): Total quantity not to exceed agreed amount
- * Transaction: ME31K (Create), ME32K (Change)
- * Release orders created against the contract (ME21N referencing contract)

Key Interview Questions

Q: What is the difference between a Contract and a Scheduling Agreement?

A: A Contract is a longer-term agreement stating total quantity or value to be procured - individual release POs are raised against it. A Scheduling Agreement contains time-phased delivery schedule lines (dates and quantities) built into the agreement itself - no separate PO is needed, GR is made directly against it.

8. SPECIAL PROCUREMENT TYPES

Consignment

- * Vendor stores goods in your plant at their risk and ownership
- * MT 101K - GR (vendor owns stock)
- * MT 201K - Goods Issue (trigger payment obligation to vendor)
- * MT 122K - Return to vendor
- * Consignment liabilities settled via MRKO transaction
- * No payment until goods are consumed

Subcontracting

- * You send components (MT 541) to vendor
- * Vendor processes and returns finished product (MT 101 with item category L)
- * BOM defines which components are sent
- * MT 543 - Vendor consumption of components
- * Open subcontracting stocks monitored via ME2O

Third-Party

- * You create PO to vendor, vendor ships directly to customer
- * PR -> PO (item category S) -> vendor invoice
- * Shipping notification or confirmation required
- * No GR in your plant (statistical GR possible)

Stock Transfer Order (STO)

- * Movement of goods between plants
- * One-step: MT 351/352 (with SD delivery) or MT 301 (without delivery)
- * Two-step: MT 303 (issue from supplying plant), MT 305 (receive at receiving plant)
- * Requires Delivery (SD) for cross-company STOs

Pipeline Materials

- * Continuous consumption from pipelines (water, gas, electricity)
- * MT 201P (consumption posting)
- * No GR, no PO - just consumption posting
- * Vendor settled via MRKO

Key Interview Questions

Q: In consignment procurement, when does the payment obligation arise?

A: Payment obligation arises when goods are consumed (MT 201K - Goods Issue from consignment stock). Until consumption, no liability exists. MRKO settles the outstanding consignment liabilities with the vendor.

Q: What is the difference between one-step and two-step stock transfer?

A: One-step (MT 301): Stock is immediately transferred from issuing to receiving plant - suitable for same company code.
Two-step (MT 303 + 305): Stock goes into "Stock in Transfer" interim state, visible to both plants - used when physical transit time is significant or when an SD delivery is required (cross-company).

9. INVENTORY MANAGEMENT - MOVEMENT TYPES

Critical Movement Types

MT	Description
101	GR for PO
102	Reversal of GR for PO
103	GR into Blocked Stock
105	Release from Blocked Stock
122	Return to vendor (from unrestricted)
123	Return to vendor (from blocked)
201	Goods Issue to Cost Center
261	Goods Issue for Production Order
262	Reversal of GI for Production Order
301	Plant-to-Plant Transfer (one step)
303	Issue from Supplying Plant (STO two-step)
305	Receive at Receiving Plant (STO two-step)
311	Transfer between Storage Locations (one step)
313	SL-to-SL (first step) - stock in transfer
315	SL-to-SL (second step) - clear in-transfer
351	GI for STO (with Delivery)
501	GR without PO (receipt into unrestricted)
541	Send components to subcontractor
543	Consume components at subcontractor
551	Scrapping
561	Initial Stock Entry
601	Goods Issue for Sales Order Delivery
641	GI for STO with delivery (supplying plant)

Stock Types

Type	Description
Unrestricted	Available for planning and use
Quality Inspection	Under QM hold
Blocked	Rejected goods
Restricted	For batch-managed materials with restricted shelf life
In Transit	Being transferred between plants/SLs
Consignment	Vendor-owned goods in your premises

Physical Inventory

- * MI01 - Create Physical Inventory Document
- * MI04 - Enter Count
- * MI07 - Post Differences
- * MIDO - Physical Inventory Overview
- * Annual inventory (all stock counted on one day)
- * Cycle counting (based on ABC classification, periodic counting)

Key Interview Questions

Q: What is the purpose of Movement Type 501 and when would you use it?

A: MT 501 posts a GR without a Purchase Order reference. Used for initial stock uploads, returns from customers not via SD, or emergency situations. It does not create a GR/IR entry, so there is no invoice matching - the debit goes directly to an inventory account with an offsetting entry.

Q: How do you reverse a GR in SAP?

A: Use MT 102 in MIGO to reverse an MT 101 GR. The system requires the original material document number. Alternatively, select "Cancel" in MIGO referencing the original document. Partial reversals are possible by specifying quantity. The reverse posting backs out all G/L entries and restores vendor/PO open quantities.

10. VALUATION AND ACCOUNT DETERMINATION

Price Controls

Control	Description	Used For
V (MAP)	Moving Average Price	Raw materials, trading goods
S (Standard Price)	Fixed standard cost	Finished/semi-finished products

Moving Average Price Mechanics

- * $MAP = \frac{\text{Total Stock Value}}{\text{Total Quantity}}$
- * GR at invoice price updates MAP if price differs from PO price
- * Price differences go to inventory account (not to price difference account) when stock covers the quantity
- * If stock = 0 and price differs, difference goes to price difference account

Standard Price Mechanics

- * Price is fixed regardless of actual purchase price
- * Variances between PO price and standard are posted to price difference accounts
- * Standard price is set via costing run (CK11N, CK24)

Account Determination - OBYC

Key Transaction/Event Keys:

Key
BSX
WRX
PRD
KON
KDM
GBB

Configuration path: SPRO -> MM -> Valuation -> Account Determination -> Configure Automatic Postings

Valuation Class

- * Links material to account determination
- * Determined by: Material Type -> Account Category Reference -> Valuation Class
- * Allows different G/L accounts for different material types

Split Valuation

- * Allows different prices for the same material based on a characteristic (batch, plant, origin)
- * Requires Valuation Type and Valuation Category
- * Use cases: imported vs domestic materials, new vs refurbished parts

Key Interview Questions

Q: Why is Standard Price preferred for finished goods and MAP for raw materials?

A: Standard Price provides stable costs for production planning and variance analysis - it isolates actual vs planned cost variances in a separate account. MAP is preferred for raw materials since purchase prices fluctuate and the average price accurately reflects current inventory value without creating separate variance accounts.

Q: What is the GR/IR account and why does it exist?

A: The GR/IR (Goods Receipt/Invoice Receipt) is a clearing account. At GR, inventory is debited and GR/IR is credited (liability to vendor). At MIRO, GR/IR is debited and vendor account is credited. This balances the books even when GR and invoice arrive at different times. Open items at period end indicate either uninvoiced deliveries or invoices not yet matched to GR.

11. MRP - MATERIALS REQUIREMENTS PLANNING

MRP Types

Type	Description
PD	MRP (demand-driven, dependent requirements)
VB	Manual Reorder Point
VM	Automatic Reorder Point
VV	Forecast-based planning
ND	No planning

Lot Sizing Procedures

Procedure	Description
EX	Exact lot size (lot = net requirement)
FX	Fixed lot size
HB	Replenish to maximum stock level
MB	Monthly lot size
WB	Weekly lot size
TB	Day lot size
ZB	Periodic lot size (configurable)
GR	Groff reorder procedure

MRP Relevant Fields in Material Master (MRP 1-4 Views)

- * MRP Type
- * MRP Controller
- * Lot Size / Rounding Profile
- * Minimum and Maximum lot sizes
- * Safety Stock / Safety Time
- * Planned Delivery Time
- * In-house Production Time (for semi-finished)
- * Scheduling Margin Key (floats)
- * Backflush indicator

MRP Planning Run

Transaction	Description
MD01	Total Planning - all materials in plant
MDBT	Total Planning in background
MD02	Single Item Multi-level
MD03	Single Item Single-level
MD04	Stock/Requirements List (MRP result)
MD05	MRP List

MD06	Collective MRP List
MD07	Collective Access to MRP Lists

Planning Run Modes

- 1. Regenerative Planning (NETCH): Replanning all materials
- 2. Net Change Planning (NETCH): Only materials with changes since last run
- 3. Net Change in Planning Horizon (NETPL): Changes within planning horizon

Exception Messages (MD04)

- * 01: Reschedule In - existing planned order should be pulled earlier
- * 02: Reschedule Out - existing planned order should be pushed later
- * 10: Firming date - planned order near firming zone
- * 07: Maintain firm receipt - fixed receipt due soon with unconfirmed quantity
- * 20: New firm receipt - no receipt exists to cover requirement
- * 30: Delayed requirements - requirement cannot be fully covered in time

Key Interview Questions

Q: What is the difference between Planned Orders and Purchase Requisitions in MRP?

A: Planned Orders are internal planning elements created by MRP for in-house production. They can be converted to Production Orders. Purchase Requisitions are requests to procurement - MRP creates them for external procurement materials. PRs can then be converted to POs. The procurement type in the material master (E = in-house, F = external, X = both) determines what MRP creates.

Q: What is Safety Stock and how does it work in MRP?

A: Safety Stock is a fixed quantity maintained in the material master as a buffer against demand/supply uncertainties. MRP treats it as an additional requirement - it ensures the available stock never falls below the safety stock level. Unlike dynamic safety time (coverage profile), static safety stock does not adjust to demand variations.

Q: What is the Firming Zone in MRP?

A: The firming zone (defined by Planning Time Fence) protects planned orders from automatic rescheduling by MRP. Within this zone, planned orders are "firmed" and MRP will not automatically change them - preventing system-generated disruptions to confirmed production plans.

12. RELEASE STRATEGY (APPROVAL WORKFLOW)

Components

1. Release Group: Groups together document types subject to release (e.g., PO, PR)
2. Release Codes: Individual approver identifiers (e.g., A1, B1, M1)
3. Release Strategy: Combination of release codes that defines the approval workflow
4. Release Characteristic: Classification characteristic that determines which strategy applies (e.g., total value, document type, plant)
5. Release Class: Class that groups the characteristics

Configuration Path

SPRO -> MM -> Purchasing -> Purchase Order -> Release Procedure for Purchase Orders

How It Works

1. When PO is saved, system evaluates classification of the PO against defined strategies
2. Matching strategy is assigned - release codes are activated in sequence
3. Approver with the release code logs in and releases via ME28 (collective release) or ME29N (individual)
4. After all codes are released, PO is released for further processing (GR, etc.)

Key Interview Questions

Q: What is the difference between Release Strategy and Workflow for PO approval?

A: Release Strategy is a standard SAP classification-based approach - simpler, configurable without ABAP, and works within MM transaction codes. Workflow (SAP Business Workflow or BRF+) is more flexible - supports complex routing, notifications, delegation, and integration with other systems. Release Strategy is common for straightforward value-based approvals; Workflow is used for complex, dynamic approval scenarios.

Q: Can a released PO be changed and what happens?

A: If a field relevant to the release strategy (e.g., total value) changes after release, the system may reset the release status - forcing re-approval. This behavior is controlled by the "Change after Release" indicator in the release strategy configuration.

13. OUTPUT / MESSAGE DETERMINATION

Condition Technique for Output

- * Application: ME (Purchasing)
- * Condition Types: NEU (New PO), AUFB (PO acknowledgement), MAHNA (Reminder)
- * Access Sequence: Determines search order for condition records
- * Condition Records: Stored in NACH table (Nachrichten = Messages)

Communication Methods

Medium	Code
Print	1
Fax	2
Telex	3
EDI	6
Email	5

Output Types in Purchasing

- * NEU - New Purchase Order
- * MAHN - Reminder (Dunning)
- * AUFB - Order Acknowledgement
- * LPET - Scheduling Agreement Deadline Monitoring

Transaction: MN04 (Create Message Condition Record), MN05 (Change), MN06 (Display)

Key Interview Questions

Q: How does message determination work in purchasing?

A: When a PO is saved, SAP triggers message determination using the condition technique. The system evaluates the access sequence of the output type to find a matching condition record (by vendor, purchasing org, document type). The condition record specifies medium (print/email/EDI), timing (immediately/at batch run), and partner function. The output is then queued and processed.

14. INVOICE VERIFICATION (LOGISTICS INVOICE VERIFICATION - LIV)

Tolerance Keys (Configuration)

Key	Description
AN	Amount for item without order reference
AP	Amount for item with order reference
BD	Form small differences automatically
BW	Percentage variance (quantity)
DQ	Quantity variance
KW	Price variance
PP	Price variance - moving average
PS	Price variance - standard price
ST	Date variance
VP	Moving average price variance

MIRO Transaction Key Tabs

- * Basic Data: Invoice date, posting date, reference
- * PO Reference: Reference to PO, GR, or scheduling agreement
- * Payment: Payment method, payment terms
- * Tax: Tax code and amount
- * Vendor: Vendor bank details
- * Details: Business area, document type

GR-Based Invoice Verification

When the "GR-Based Invoice Verification" flag is set in vendor master/PIR:

- * Invoice can only be posted for quantities already received
- * Prevents payment before physical delivery
- * Each GR line item must be individually referenced in MIRO

Blocking Reasons

Reason	Description
M	Manually blocked
P	Price tolerance exceeded
Q	Quantity tolerance exceeded
D	Vendor default (payment block)
R	Stochastic block (random sample)

Key Transactions

- * MIR6 - Invoice overview (see blocked invoices)
- * MRBR - Release blocked invoices
- * MR8M - Cancel invoice document
- * MR11 - Maintain GR/IR account

- * MRRL - Evaluate and settle ERS

Subsequent Debit/Credit

- * Used after invoice is already posted
- * Subsequent Debit: Vendor charges additional amount (freight, duty)
- * Subsequent Credit: Vendor issues credit note
- * In MIRO: Select "Subsequent Debit" or "Credit Memo" from dropdown

Key Interview Questions

Q: What is the difference between a Credit Memo and a Subsequent Credit?

A: A Credit Memo reverses a previous invoice (reduces the amount already invoiced and payable). A Subsequent Credit reduces the value of a specific delivery/GR without reversing the original invoice - used when a price reduction is agreed after invoicing.

Q: What is stochastic blocking and when is it used?

A: Stochastic blocking randomly selects invoices for manual verification regardless of tolerance variances. Configured with a probability percentage and minimum invoice amount. Used as a compliance/audit control measure.

15. INTEGRATION WITH OTHER SAP MODULES

MM ? FI (Financial Accounting)

- * Every goods movement generates an accounting document
- * Material document (MIGO) = Accounting document (FI)
- * Configured via OBYC (automatic account determination)
- * Vendor liability posted in FI at MIRO
- * Payment cleared in FI by AP team

MM ? SD (Sales & Distribution)

- * Stock Transfer Orders use SD delivery process
- * Third-party procurement: SD creates PR automatically from sales order
- * Returns: SD return sales order triggers MM movement
- * Availability check (ATP) reads MM stock

MM ? PP (Production Planning)

- * Production orders consume materials via MT 261
- * BOM (Bill of Materials) managed in MM/PP
- * MRP planned orders converted to production orders
- * Backflushing: automatic GI at production order confirmation

MM ? WM (Warehouse Management) / EWM

- * MM manages storage location level, WM manages bins within warehouse
- * Transfer Order created in WM to fulfill MM transfer requirements
- * EWM is the advanced warehouse system (successor to WM) in S/4HANA

MM ? QM (Quality Management)

- * Quality inspection lot created at GR
- * Material goes to QI stock (MT 103 or inspection setup)
- * Usage decision moves material to unrestricted (MT 321) or blocked (MT 344)
- * Quality notifications linked to vendor for complaints

Key Interview Questions

Q: How does MM integration with FI work during goods movements?

A: When a goods movement is posted in MM (MIGO), the system simultaneously creates an accounting document in FI. The G/L accounts are determined automatically via OBYC (Account Determination) based on movement type, valuation class, and chart of accounts. This ensures real-time inventory accounting without manual journal entries.

16. KEY CONFIGURATION ACTIVITIES (SPRO)

Critical Config Nodes

Config Area	SPRO Path
Purchasing Groups	MM -> Purchasing -> Create Purchasing Groups
Document Types for PO	MM -> Purchasing -> PO -> Define Document Types
Number Ranges	MM -> Purchasing -> PO -> Define Number Ranges
Release Procedure	MM -> Purchasing -> PO -> Release Procedure
Message Determination	MM -> Purchasing -> Messages
Tolerance Keys	MM -> LIV -> Invoice Block -> Set Tolerance Limits
Account Determination	MM -> Valuation -> Account Determination -> OBYC
Movement Types	MM -> Inventory Mgmt -> Movement Types
Valuation Class	MM -> Valuation -> Material Valuation -> Setup Material Accounts
MRP Parameters	MM -> Consumption-Based Planning -> Master Data

Transport Requests in Configuration

- * Configuration changes go in Customizing Requests (task type = Customizing)
- * Testing in Development -> Quality -> Production (3-system landscape typical)

17. KEY TRANSACTION CODES REFERENCE

Master Data

TCode	Description
MM01/MM02/MM03	Create/Change/Display Material
MMAM	Change Material Type
XK01/XK02/XK03	Create/Change/Display Vendor (Company Code & Purch Org)
MK01/MK02/MK03	Create/Change/Display Vendor (Purch Org only)
XK99	Mass Change Vendor
ME11/ME12/ME13	Create/Change/Display PIR
ME01/ME03	Maintain/Display Source List

Procurement

TCode	Description
ME51N/ME52N/ME53N	Create/Change/Display PR
ME54N/ME55	Release PR (individual/collective)
ME41/ME42/ME43	Create/Change/Display RFQ
ME47/ME48/ME49	Quotation/Price Comparison
ME21N/ME22N/ME23N	Create/Change/Display PO
ME28/ME29N	Release PO (collective/individual)
ME31K/ME32K/ME33K	Create/Change/Display Contract
ME31L/ME32L/ME33L	Create/Change/Display Scheduling Agreement
ME38	Maintain Delivery Schedule (SA)
ME2L/ME2M/ME2N	PO by Vendor/Material/Document
ME80FN	General Purchasing Analysis

Inventory Management

TCode	Description
MIGO	All Goods Movements
MB01/MB0A	Post Goods Receipt (classic)
MB51	Material Document List
MB52	Warehouse Stock Display
MB53	Plant Stock Availability
MMBE	Stock Overview
MI01/MI04/MI07	Physical Inventory
MIDO	Physical Inventory Overview

Invoice Verification

TCode	Description
MIRO	Enter Incoming Invoice
MIR4	Display Invoice Document
MIR6	Invoice Overview
MIR7	Park Invoice
MRBR	Release Blocked Invoices
MR8M	Cancel Invoice Document
MR11	GR/IR Account Maintenance
MRRL	ERS Settlement Run
MRKO	Settle Consignment/Pipeline Liabilities

MRP

TCode	Description
MD01/MDBT	MRP Total Planning
MD02/MD03	Single Item MRP
MD04	Stock/Requirements List
MD06/MD07	MRP List (collective)
MD16	Collective Conversion of Planned Orders
ME57	Assign and Process PRs

18. ADVANCED TOPICS FOR SENIOR ROLES

Batch Management

- * Batch = sub-lot of a material with unique characteristics
- * Batch classification: characteristics stored in batch master
- * Batch determination in PO, GR, GI using search strategies
- * FEFO (First Expired First Out) for shelf-life materials
- * Transaction: MSC1N (Create), MSC2N (Change), MSC3N (Display)

Consignment Settlement (MRKO)

- * Settles all consumed consignment/pipeline quantities
- * Creates vendor invoices automatically
- * Can be run periodically (month-end)

Schedule Line Categories in STO

- * For cross-company STO with SD delivery, schedule line category controls delivery relevance and movement type assignment

Vendor Evaluation (ME61-ME65)

- * Criteria: Price, Quality, Delivery, Service
- * Automatic and manual scores
- * Used in source determination

Quota Arrangement

- * ME61 (Create Quota Arrangement)
- * Splits procurement quantities between multiple vendors by percentage
- * MRP respects quota arrangement in vendor selection

Key Interview Questions for Senior Roles

Q: How would you troubleshoot a GR/IR account mismatch at month end?

A: Run MR11 (GR/IR Account Maintenance) to identify open items - GRs without invoices (credit balance) and invoices without GR (debit balance). For items older than the tolerance period, either post a clearing entry or investigate with the vendor. Also check FBL3N on the GR/IR account for individual open items and their document references.

Q: How do you handle price differences in material ledger?

A: In Material Ledger (mandatory in S/4HANA), all price differences from procurement, production, and exchange rates are captured throughout the period. At period end, CKMLCP (Actual Costing Run) distributes these differences to consuming cost objects. This provides actual cost of goods vs standard cost - essential for accurate profitability analysis.

Q: Describe your experience with output-related configuration issues in purchasing.

A: Common issues include missing condition records (check MN05/MEQ1), incorrect partner functions in vendor master, output types not configured for the document type, and printer/email server setup issues. Debug with ME22N -> Messages tab -> check processing log. For EDI, check NACE -> Application ME -> Output Types.

19. COMMON INTERVIEW SCENARIOS

Scenario 1: Vendor sends invoice but no GR done

Answer: With GR-based IV active, MIRO will not allow posting beyond received quantity. The invoice will be parked (MIR7) and blocked until GR is posted. With GR-based IV inactive, invoice can be posted and a quantity variance block (if configured) will hold it for approval.

Scenario 2: Material price is MAP, new GR at significantly different price

Answer: $\text{New MAP} = (\text{Old Value} + \text{GR Value}) / (\text{Old Qty} + \text{GR Qty})$. The debit goes to inventory account at the new MAP. If there is insufficient stock to absorb the difference, the remainder goes to a price difference account. After the GR, the MAP is updated in the material master for future transactions.

Scenario 3: Purchase Order issued to wrong vendor

Answer: If no GR or invoice exists, the PO can be cancelled (set deletion flag, close items). If GR exists, the GR must be reversed (MT 102) before the PO can be changed. If invoice is posted, the invoice must first be cancelled (MR8M), then GR reversed, then PO corrected.

Scenario 4: MRP is generating too many planned orders

Answer: Check planning horizon settings, safety stock levels, lot sizing procedure, scheduling agreement/contract validity. Also check for incorrect open POs or schedule lines inflating supply. Review net requirements calculation in MD04. Consider adjusting the planning time fence to protect the near-term horizon.